

Introduction

The Importance of Information

“The market,” says Mr. Johnson in Adam Smith’s *The Money Game*, “is like a beautiful woman — endlessly fascinating, endlessly complex, always changing, always mystifying. I have been absorbed and immersed since 1924 and I know this is no science. It is an art. Now we have computers and all sorts of statistics but the market is still the same and understanding the market is still no easier. It is personal intuition, sensing patterns of behaviour. There is always something unknown, undiscerned.” The market is fascinating and addictive and once you have entered it “it is foolish to think that you can withdraw from the exchange after you have tasted the sweetness of the honey”, De La Vega commented in the seventeenth century.

The lure of the market is the promise of great wealth. Warren Buffett has been for several years one of the wealthiest men in the world. His net worth was estimated by *Forbes* in 2010 to be \$ 47 billion. The wealth is entirely from the market — by managing an investing company called Hathaway. He believes in value investing — in fundamental analysis. It is the promise of great wealth, of emulating persons like Buffett and his gurus Benjamin Graham and Bernard Baruch that spurs investors on. This lure was demonstrated in India in 1992, at the end of the millennium (in the first 4 months of 2000), from the end of the second quarter of 2003, and more recently in 2006 and 2007 when prices soared. The manner in which these speculative drives occur are similar and happens with amazing frequency and regularity. This is not restricted to shares either. The tulip mania in Holland in the seventeenth century sent their prices soaring. In 1992, the rush to buy shares in India was so great that ancestral land and family jewels were sold or pawned in the overpowering, overwhelming greed for riches. For a time, prices rose and then the bubble burst. This occurred again in early 2000 when information technology share prices rose to phenomenal heights. Many shrewd promoters changed the names of their companies to “infotech”, or added the word “infotech” to its name and made a killing in the market. The law of gravity has to prevail and their